

COMMITTEE ON GOVERNMENT
SENATE AMENDMENTS TO S.B. 1745
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 9, chapter 4, article 8, Arizona Revised Statutes,
3 is amended by adding section 9-500.54, to read:

4 9-500.54. Municipal transaction privilege tax and excise tax;
5 rates; limit; voter approval; state share revenue
6 withholding; applicability; definitions

7 A. NOTWITHSTANDING ANY OTHER LAW, ORDINANCE, CHARTER PROVISION,
8 RESOLUTION OR SPECIAL ACT, A CITY OR TOWN WITH A POPULATION OF FIVE
9 HUNDRED FIFTY THOUSAND OR MORE PERSONS MAY NOT LEVY OR ASSESS A
10 TRANSACTION PRIVILEGE TAX OR EXCISE TAX THAT IS IMPOSED ~~[PURSUANT TO THIS~~
11 ~~CHAPTER]~~ AT A RATE OF MORE THAN TWO AND ONE-HALF PERCENT ON ANY
12 TRANSACTION PRIVILEGE TAX CLASSIFICATION.

13 B. EXCEPT AS PROVIDED IN SUBSECTION D OF THIS SECTION, THE TAX RATE
14 LIMIT PRESCRIBED BY SUBSECTION A OF THIS SECTION APPLIES SEPARATELY TO
15 EACH TRANSACTION PRIVILEGE TAX CLASSIFICATION, REGARDLESS OF THE NUMBER OF
16 CLASSIFICATIONS, COMPONENTS OR ORDINANCES UNDER WHICH THE TRANSACTION
17 PRIVILEGE TAX OR EXCISE TAX IS IMPOSED.

18 C. A CITY OR TOWN MAY NOT ADOPT A NEW TRANSACTION PRIVILEGE TAX OR
19 EXCISE TAX, INCREASE AN EXISTING TAX RATE, EXPAND A TAX BASE OR IMPOSE A
20 SURCHARGE IF DOING SO WOULD CAUSE THE TAX RATE IMPOSED ON ANY TRANSACTION
21 PRIVILEGE TAX CLASSIFICATION TO EXCEED THE LIMIT PRESCRIBED BY SUBSECTION
22 A OF THIS SECTION UNLESS THE NEW TRANSACTION PRIVILEGE TAX OR EXCISE TAX
23 IS APPROVED PURSUANT TO SUBSECTION D OF THIS SECTION.

24 D. NOTWITHSTANDING ANY OTHER LAW, ORDINANCE, CHARTER PROVISION,
25 RESOLUTION OR SPECIAL ACT, A CITY OR TOWN SHALL SUBMIT ANY PROPOSED
26 INCREASE IN A TRANSACTION PRIVILEGE TAX OR EXCISE TAX TO THE QUALIFIED
27 ELECTORS OF THE CITY OR TOWN. A TRANSACTION PRIVILEGE TAX OR EXCISE TAX
28 THAT IS APPROVED BY THE QUALIFIED ELECTORS OF A CITY OR TOWN IS NOT
29 SUBJECT TO THE LIMIT PRESCRIBED IN SUBSECTION A OF THIS SECTION IF THE

1 VOTER-APPROVED INCREASE OCCURS AT AN ELECTION THAT IS CONDUCTED ON A
2 CONSOLIDATED ELECTION DATE IN AN EVEN-NUMBER YEAR AS PRESCRIBED BY SECTION
3 16-204. THIS SUBSECTION APPLIES TO A TRANSACTION PRIVILEGE TAX OR EXCISE
4 TAX THAT IS APPROVED BY THE QUALIFIED ELECTORS OF A CITY OR TOWN ON OR
5 AFTER THE EFFECTIVE DATE OF THIS SECTION.

6 E. A TRANSACTION PRIVILEGE TAX OR EXCISE TAX IMPOSED PURSUANT TO
7 TITLE 42, CHAPTER 6 THAT WAS APPROVED BY THE QUALIFIED ELECTORS OF A CITY
8 OR TOWN IS NOT INVALIDATED BY THIS SECTION.

9 F. A CITY OR TOWN THAT VIOLATES THIS SECTION IS SUBJECT TO
10 ENFORCEMENT PURSUANT TO SECTION 41-194.01. IF A CITY OR TOWN IS FOUND TO
11 BE IN VIOLATION OF THIS SECTION, THE ATTORNEY GENERAL SHALL NOTIFY THE
12 STATE TREASURER AS PRESCRIBED BY SECTION 41-194.01, SUBSECTION B,
13 PARAGRAPH 1. THE STATE TREASURER SHALL WITHHOLD STATE SHARED REVENUES
14 FROM THE CITY OR TOWN IN AN AMOUNT THAT IS PROPORTIONATE TO THE
15 UNAUTHORIZED TAX INCREASE UNTIL THE VIOLATION OF THIS SECTION IS RESOLVED.

16 G. THIS SECTION DOES NOT APPLY TO AD VALOREM PROPERTY TAXES.

17 H. FOR THE PURPOSES OF THIS SECTION:

18 1. "EXCISE TAX" MEANS ANY TAX THAT IS IMPOSED UNDER TITLE 42,
19 CHAPTER 6 AND THAT IS MEASURED BY THE PRIVILEGE OF ENGAGING IN A
20 TRANSACTION OR ACTIVITY.

21 2. "TRANSACTION PRIVILEGE TAX CLASSIFICATION" MEANS A TRANSACTION
22 PRIVILEGE CLASSIFICATION THAT IS ESTABLISHED PURSUANT TO TITLE 42, CHAPTER
23 5, ARTICLE 2.

24 Enroll and engross to conform

25 Amend title to conform

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